

Subject: Economics

Topic: Rural Development in India

Chapter: 5 Class:

11th

*** The concept of 'Rural development' was born in the context of agriculture.**

Significance of Rural Development in India:

1) Public health and sanitation:

Rural development helps to improve sanitation and hygiene, providing safe drinking water and affordable health facilities.

This would lead to an improvement in the quality of life of the rural people.

2) Literacy rate in rural area:

Literacy is a powerful instrument of socio-economic change.

However, there is a considerable gap between the rural and urban literacy rates.

Rural development helps to bridge this gap by making provisions for educational facilities at all levels.

3) Empowerment of women:

Rural development helps to reduce gender disparity, meet the diverse needs of rural women as well as encourage their participation in community development programmes.

4) Enforcement of law and order:

Rural development helps to safeguard the rights of the socially disadvantaged groups through proper enforcement of law and order.

5) Land reforms:

Rural development ensures effective implementation of land reforms such as ceiling on land holdings, regulation of rent, protection of tenancy rights etc.

This leads to reduction in rural inequality.

6) Infrastructure development:

Rural development leads to further progress in basic facilities such as generation of electricity, road connectivity, irrigation etc.

Types of Agricultural Credit:

Agricultural credit can be classified on the basis of:

1) Tenure:

It is credit requirement based on the time-period of loans. It is of three types: **a)**

Short-Term Credit:

- It refers to loans not exceeding two years.
- It is required for meeting the short-term requirements of the cultivators.
- For e.g., loans required for the purchase of fertilizers, High Yielding Variety (HYV) seeds, for meeting expenses on religious or social ceremonies etc.

b) Medium-Term Credit:

- These loans are for a period up to 5 years.
- These are the financial requirements to make improvements on land, buying cattle or agricultural equipment's, digging up of canals etc.

c) Long-Term Credit:

- These loans are for a period of more than 5 years.
- It is generally required to buy tractor, making permanent improvements on land etc.

2) Purpose:

The agricultural credit on the basis of purpose for which the credit is used can be of two types:

a) Productive:

Productive loans are the loans that are related to agricultural production and economically justified, e.g., purchase of tractor, land, seeds etc. **b) Unproductive:**

Unproductive credit is used for personal consumption and unrelated to productive activity, e.g., loans for expenditure on marriages, religious ceremonies etc.

Source of Agricultural Credit in India:

1) Non-Institutional Sources

2) Institutional Sources

Non-Institutional Sources:

- The non-institutional finance forms an important source of rural credit in India, constituting around *40 percent* of total credit in India.
- The interest charged by the non-institutional lenders is usually very high.
- The land or other assets are kept as collateral security.

The important sources of non-institutional credit are as follows:

i) Money-Lenders:

Money-lending has been a widely prevalent profession in the rural areas. The money-lenders charge huge rate of interest and mortgage the property of the cultivators.

ii) Other Private Sources:

a) Traders, landlords, Commission agents, etc. b) Credit from relatives, friends, etc.

Institutional Sources:

- The general policy on agricultural credit has been one of progressive institutionalization aimed at providing timely and adequate credit to farmers.
- This is to increase their agricultural production and productivity.

The important sources of institutional credit are as follows:

i) National Bank for Agriculture and Rural Development (NABARD):

- It is the apex banking institution to provide finance for agriculture and rural development.
- It was established on July 12, 1982, by 50:50 contribution of Government of India and Reserve bank of India.
- NABARD is an apex institution in rural credit structure for providing credit for promotion of agriculture, small scale industries, etc.
- Today, it is fully owned by Government of India.

ii) Rural Co-operative Credit Institutions:

- The rural credit co-operatives may be further divided into short-term credit cooperatives and long-term credit co-operatives. A) **Short-term credit co-operatives:**

It provides short-term rural credit and are based on a three-tier structure as follows:

- Primary Agricultural Credit Societies (PACS)
- District Central Co-operative Banks (DCCB)

- State Co-Operative Banks (SCB)

B) Long-term credit Co-operatives:

These co-operatives meet long-term credit requirements of the farmers and are organized at two levels:

• Primary Co-operative Agriculture and Rural Development Banks:

These banks operate at the village level as an independent unit.

• State Co-operative Agriculture and Rural Development Banks:

These banks operate at state level through their branches in different villages.

iii) Commercial Banks: (CB's)

- It provides rural credit by establishing their branches in the rural areas.

iv) Regional Rural Banks (RRBs):

- They are the specialised banks which caters to the needs of the rural poor.
- RRBs are set-up as rural-oriented commercial banks with the low cost profile but inculcating a professional discipline and modern outlook of commercial banks.

v) Micro Finance Institutions (MFIs):

- Banks offer concessional interest rates for the rural credit.
- However, small farmers are unable to access them because of borrower unfriendly products and procedures.
- Thus, Non-Government Organisations (NGOs) are providing alternative means to enhance access to credit by the poor since mid-70's.

.....